

BOARD OF CBA

MINUTES

(28.03.2017)

Refinancing Rate of March 28, 2017

The CBA Board Meeting of March 28, 2017 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vaghtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan

The Board meeting opened with presentation of Situation Report as of March 28, 2017. It addressed the developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

It was noted that the inflation rate in February 2017 has been close to the Central Bank's forecasts – there was 0.9% deflation recorded during the month compared with that of 1.4% in the same month last year, in which case **the 12-month inflation rate continued to recover, reaching -0.2%**. It was stated that the deflationary environment persisting over the last one and a half year has greatly incurred the deflationary impact of the external environment in 2015-2016, which had been transmitted on food product prices in the first place, and since 2016, on the prices of non-food products. In the meantime, positive developments in the agricultural sector as well as the fall in the gas and electricity tariffs in several stages have also contributed to the shaping of lower prices. Interestingly, such inflationary developments were observable not only in our country but also in other developing countries in the region and even in a number of developed countries. The average inflation in 40 countries in the EU, Eastern Europe and the CIS amounted to 1.8% in 2016 against that of 2.8% recorded in the previous year, yet 12 of these countries reported deflation. **According to the Central Bank estimates, inflation in March will be in the range of -0.2-0% instead of the forecasted -0.4%.**

It was noted that the 2016 economic growth has been 0.2% against the forecasted 0.4%, mainly due to a larger- than-expected contractions in the agricultural and construction sectors late in the year. However, **the increase of the economic activity indicator in the period January-February 2017 significantly exceeded the expectations as EAI reached 6.2%**, with most activity observed in the industry, wholesale

trade, car sales and provision of services. As a result, the first quarter 2017 economic growth has been revised **from 1.9% to 5.2%**.

In view of the inflation and economic activity developments described above and how these could unfold further, **in May**, i.e. the next forecast stage, the Central Bank **is going to revise economic growth forecasts upside for a 3-year horizon (preliminary estimation: 3.2-4.4% in 2017) and to envisage a rapider path for the recovery of inflation**. However, medium-term growth prospects will much depend on the implementation of reforms by the Government, effectiveness of attracting domestic and foreign investment and the level of capital expenditures for infrastructure improvement.

The Board admitted that not only supply factors but also demand factors had reflected the positive influence of expansionary policies carried out by the Central Bank and the Government in the period 2015-2016. **In January-February 2017 aggregate demand continued recovering gradually**, based on which some 0.6 pp growth of private consumption is anticipated in the first quarter of the year against the forecast made in January, and the higher-than-expected growths in retail trade turnover and imports point to such developments. The growth rate of private investment for the same period has been revised upside by 1.3 pp, mainly due to stronger economic activity growth and somewhat improved investment climate.

Stimulation of economy financing by the financial sector also points to the positive developments in the economy: **credit growth in January-February amounted to 4.6% compared with 1.0% registered in the same period last year**. Meanwhile, in January-February, relative to the same reference period of the previous year, a strong credit growth of 24.1% was recorded in industry, creating real bases for further growth of economic activity.

It was noted that actual indicators of economic growth in trade partner countries were rather close to the January estimates by the Central Bank, while actual developments in the raw material and food product markets proved more inflationary in relation to inflation forecasts. In particular, in February the food price index published by the Food and Agriculture Organization has grown by 0.5% against the previous month and by 17.2% relative to the same reference period last year.

The Board of the Central Bank again referred to the pace of contractionary monetary policy by the US Federal Reserve System and, in a related manner, the possible capital outflow to the USA from emerging

and other developed countries, seeing additional inflationary risks. The Board also estimated that inflationary trends in the international commodity markets in the short run would continue.

The Board also addressed the developments in the financial market, stating that market interest rates continued trending downward. The interbank interest rate in January-February has been very close to the Central Bank's policy rate – the quarter's average weighted interest rate was approximately 5.9%.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began discussing the monetary policy directions and the interest rate decision-making. First, the Board agreed that a **combined effect from 12 rounds of lowering of the refinancing rate for a total of 4.5 percentage points over the last two years as well as the expansionary policy conducted by the Government would continue to be transmitted to the economy in 2017 too, positively contributing to both the economic activity and the fulfillment of inflation target in the forecast horizon.** On the other hand, while the deflationary risks dominated previously, these are now balanced and, should such trends continue, the inflationary risks in the future would possibly prevail.

Considering the statement above, the Board decided to leave the monetary conditions unchanged at this time, making a forward-looking judgment that in case the developments unfold in a way other than predicted and **if risks in any direction emerge**, the Central Bank will steer its monetary policy adequately, while ensuring the fulfillment of the inflation target in the medium run.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

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050.009 A. 28.03.17

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD RESOLUTION No. 69A (March 28, 2017)

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2 Deposit facility rate offered by the Central Bank to be 4.5%.
3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the CBA

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PRESS RELEASE

28.03.2017

On a March 28, 2017 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the 6.0% level.

Deflation in February of 2017 was 0.9% against that of 1.4% recorded in the same month of the previous year, in which case the 12-month inflation rate amounted to -0.2%. The 12-month inflation rate, as expected, will continue to recover and stabilize around the target in the forecast horizon.

Trends in the external sector generally persisted – the global economy continues to grow slowly, while international commodity markets face even a further expanding inflationary environment against the forecast. There are still some inflationary risks associated with how soon the US Federal Reserve System will be raising the interest rate as well as the capital outflows to the USA from developing and other developed countries. In the upcoming months **significant** inflationary effects from the external sector are not anticipated, however.

The Board notes that economic activity in January-February of 2017 considerably exceeded the expectations, largely due to higher growth registered in industry, services and trade sectors. At the same time, domestic demand is gradually recovering primarily thanks to expansionary effect from implementing monetary and fiscal policies during 2015-2016. In such circumstances where the refinancing rate has reduced 12 times for a total 4.5 percentage points in the last two years, the effect of which will continue to be transmitted to the economy during 2017, the Central Bank Board currently considers it appropriate to leave monetary conditions unchanged, while expecting acceleration in the recovery of economic activity and inflation rate.

Should there emerge risks to economic developments in both external and domestic environment and to the inflation deviating from the projected value, the Central Bank would react by adjusting its monetary policy directions accordingly, while fulfilling the inflation target in the medium run.

More information about the setting of interest rate will be available in Press Release (Minutes on Interest Rate) to be published by April 7, 2017.

Press Service of the Central Bank of Armenia